

Dixon Technologies

Cash conversion and operations improvement

Executive memo - Hisham Siddiqui - 7 October 2026

Recommendation

Validate a limited collections pilot before approving investment. Require invoice-level evidence of delays and a measurable reduction in financing costs. Public financial statements support cash sensitivity analysis but cannot establish the causes of individual collection delays.

Financial diagnostic

Consolidated metric	FY2024	FY2025	FY2026
Revenue, INR crore	17,690.90	38,860.10	48,872.80
Derived operating EBITDA margin	3.94%	3.88%	3.82%
Operating cash flow, INR crore	584.31	1,149.75	1,782.29
OCF / group reported PAT	1.56x	0.93x	1.08x
Cash after cash capex, INR crore	(0.12)	210.40	714.78

Operating margin narrowed modestly despite revenue growth. FY2025 includes a ₹459.98 crore exceptional gain. FY2026 other income includes a ₹670.75 crore equity investment gain and a ₹21.88 crore business-sale gain. These pre-tax items affect the interpretation of headline profit.

Operational exposure

At FY2026 volumes, isolated five-day changes imply additional cash needs of ₹669.49 crore for slower collections, ₹620.24 crore for extra inventory, or ₹621.46 crore for earlier supplier payments. These sensitivities assume even daily activity. They are not forecasts, profit losses or evidence of a funding shortfall.

Hypothetical pilot business case

Assume a 2% sales cohort, a five-day collection improvement, 50% of released cash replacing borrowing at 10%, ₹25 lakh setup cost and ₹12 lakh annual cost. At 50% Year 1 benefit realisation, the model releases ₹13.39 crore of cash, produces a ₹3.53 lakh Year 1 loss, and generates ₹51.42 lakh cumulative net benefit over 24 months. Approximate payback is 12.77 months. Cash release is excluded from the 104.9% project ROI.

Decision conditions and follow-up

The model needs at least 24.4% of released cash to replace borrowing at the assumed rate to break even over 24 months. Dixon has ₹299.93 crore of cash less borrowings at year-end, excluding leases, so avoided interest cannot be assumed. Establish matched invoice cohorts, actual financing costs and vendor quotations. Track dispute age, collection days, discounts, bad debts and borrowing balances. Scale only after measured economics support the investment.

Basis and sources

Independent public-data student case. Pilot costs, targets and benefits are analyst assumptions. Derived EBITDA excludes all other income, JV profit and exceptional gains. Days use annual-average proxies, while management reports quarterly working-capital days. Cash after capex excludes financing and other investing flows.

Official reports: FY2026 pp408-411 and 458; FY2025 pp322-325 and 368; FY2024 pp316-317. Direct links and definitions are in docs/SOURCE_REGISTER.md and the workbook. Reports available at dixoninfo.com/financial-performance.